

Branch Operations and Stock Transfer Manual

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Purpose

This manual covers how TraceStock AI branches operate day to day, how stock moves between the four sites, and how branch-level performance is assessed. It governs the retail channel and the physical movement of goods between sites.

Daily Branch Routine

Opening. Confirm the cash position against the previous day's close. Check overnight system alerts for stock discrepancies. Review any pending customer collections. Confirm the sales floor matches the planogram for active promotions.

During trading. Record every sale against the correct channel. Retail sales must never be recorded as online, because the two channels carry different margins and different return behaviour, and mixing them corrupts both.

Closing. Reconcile cash and card takings. Record any stock written off or damaged during the day. Confirm all customer collections either completed or rebooked. Submit the daily close before leaving.

A branch that does not submit a daily close leaves a gap in the sales record that cannot be reconstructed later. Missing closes are escalated to Retail Operations the following morning.

Stock Transfer Between Sites

Transfers move stock between the four sites to correct imbalances. They are not a substitute for replenishment from suppliers, and a site that relies on transfers to stay in stock has a reorder point set too low.

When a transfer is appropriate

- One site is at or below reorder point while another holds more than 150

percent of its own reorder point for the same product

- Seasonal repositioning ahead of a forecast regional weather event
- Consolidating slow-moving stock to Berlin Hub for clearance
- Moving stock to cover a confirmed promotional demand

When a transfer is not appropriate

- To cover a shortage that supplier replenishment will resolve within lead time

- To move stock that has been quarantined or is pending quality review
- To empty a site of stock that will be needed there within four weeks
- Purely to improve one site's stock coverage metric

Transfer procedure

- Raise the transfer request stating product, quantity, origin, destination,

and reason

- Confirm the origin site retains stock above its own reorder point after

transfer

- Obtain approval per the thresholds below
- Pick and pack against the transfer document, not against a sales pick list
- Record the outbound movement at origin before dispatch
- Record the inbound receipt at destination on arrival, not on dispatch
- Investigate any variance between dispatched and received quantity within one

business day

Stock in transit belongs to neither site for availability purposes. It must not be promised to a customer until received and recorded at the destination.

Transfer approval thresholds

Transfer value	Approver
Under 2,000 EUR	Site supervisor
2,000 to 10,000 EUR	Retail Operations
Above 10,000 EUR	Head of Operations
Any transfer of quarantined stock	Prohibited

Transit times between sites

Route	Transit
Berlin Hub to Hamburg Warehouse	1 business day
Berlin Hub to Frankfurt DC	1 business day
Berlin Hub to Munich Fulfillment	2 business days
Frankfurt DC to Munich Fulfillment	1 business day
Hamburg Warehouse to Munich Fulfillment	2 business days
Hamburg Warehouse to Frankfurt DC	1 business day

Transfers are consolidated into scheduled runs rather than dispatched individually. A transfer raised after the daily cut-off moves on the following run, which means a two-day route can take three days end to end.

Branch Stock Accuracy

Branches count a rotating subset of stock weekly rather than closing for a full count. Categories with high value or high shrink risk are counted more often.

Category group	Count frequency
Smartphones, Laptops	Weekly
Headphones	Fortnightly
Coffee Machines, Office Chairs	Monthly
Air Conditioners, Space Heaters	Monthly, and at season start
Rain Jackets, Running Shoes, Sunscreen	Monthly

Any variance above 2 percent of counted units, or above 500 EUR in value, triggers an immediate recount. If the recount confirms the variance, it is escalated to Retail Operations the same day and the cause investigated before the record is adjusted. Adjusting a record to match a count without understanding the cause hides the underlying problem.

Customer Collection Orders

Customers may order online and collect at a branch. These orders are recorded against the online channel, not retail, because the sale occurred online.

Collection orders are held for 10 calendar days. The customer is notified on arrival and again on day 7. Unclaimed orders after day 10 are returned to sellable stock and refunded in full.

Collection stock is reserved and must not be sold to a walk-in customer, even where the walk-in is present and the collection customer is not. Reserved stock appears in stock on hand but is not available.

Branch Performance Assessment

Branches are assessed on the following, in this order of weight:

- Stock accuracy, measured by count variance
- Revenue against plan for the period
- Return rate relative to the retail channel average
- Daily close compliance
- Customer collection fulfilment rate

Revenue alone is not a sufficient measure. A branch achieving revenue while carrying poor stock accuracy is creating cost elsewhere in the network, because inaccurate stock records cause failed promises at every other site that trusts them.

Handling Stock Discrepancies

Where physical stock does not match the record:

- **Physical exceeds record.** Investigate before adding. Usually indicates an

unrecorded receipt or a return processed without a record. Adding stock without cause can mask a receiving failure.

- **Record exceeds physical.** Investigate before deducting. Usually indicates

an unrecorded sale, a theft, a damaged item not written off, or stock physically at another site.

Neither is corrected by adjusting the number alone. The adjustment closes the symptom; the investigation prevents recurrence.

Seasonal Floor Changes

Weather-sensitive categories require floor space changes ahead of season, not during it. Space Heaters move to prime floor position in October and out in March. Air Conditioners move in in May and out in September. Rain Jackets hold year-round space in Hamburg and seasonal space elsewhere.

Floor changes are planned four weeks ahead and require stock to be positioned before the change, which usually means a transfer raised six weeks ahead.

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